Money and the economy

1. Read the article once for meaning. 2. Read it again and look at the **highlighted new words** and the **blue phrases** in context. 3. Study the tables. 4. Use at least 5 new words in speaking or writing this week.

Article: Money matters: how economies work (184 words)

Whether a country is rich or poor depends largely on how its **economy** performs. Economists measure growth by looking at **GDP**, but ordinary families feel the economy through prices. When **inflation** rises, money buys less, and the **cost of living** becomes a heavy burden. In a **recession**, firms close, jobs disappear and a **bankrupt** business may leave many people without **income**.

Governments try to protect people through **unemployment benefit** and by managing **consumer spending** and **consumption** with taxes. A smart family keeps a careful **budget**, avoids unnecessary **debt**, and tries to **invest** when it can. Few people, however, can **afford** to buy a home without borrowing. Meanwhile a strong **exchange rate** helps importers but hurts exporters, and some large firms move their **profit** to a **tax haven** to pay less tax.

The most worrying trend of recent years is the widening **gap between rich and poor**. When **wealth** is concentrated in a few hands, an **affluent** minority prospers while others **struggle to make ends meet**. Most economists agree that growth is not enough by itself: it must **trickle down** through fair wages and good public services.

Useful phrases from the article

PHRASE	MEANING
struggle to make ends meet	have barely enough money to live
trickle down	reach ordinary people

The 20 new words

WORD		MEANING	EXAMPLE
economy	n	the system of money and trade in a country	*The economy grew by two percent.*
inflation	n	a general rise in prices	*Inflation reduces what money can buy.*
recession	n	a period of weak economic activity	*Many shops closed during the recession.*
income	n	money received regularly	*Average income has risen slightly.*
wealth	n	a large amount of money or property	*Wealth is concentrated in a few hands.*

gap between rich and poor	n	the difference in wealth	*The gap between rich and poor is widening.*
consumption	n	the use of goods and resources	*Consumption of energy keeps rising.*
budget	n	a plan for spending money	*The family has a tight budget.*
invest	v	to put money into something to make profit	*He invested in a small business.*
debt	n	money you owe	*Student debt affects young adults.*
exchange rate	n	the value of one currency against another	*A strong exchange rate hurts exporters.*
unemployment benefit	n	money paid to people without jobs	*Unemployment benefit helps families survive.*
cost of living	n	the cost of basic things like food and housing	*The cost of living is higher in cities.*
GDP	n	the total value of goods and services in a country	*GDP per person is rising.*
profit	n	money gained after costs	*The firm made a large profit.*
bankrupt	adj	unable to pay debts	*The company went bankrupt.*
tax haven	n	a country with very low taxes	*Some firms hide profits in tax havens.*
consumer spending	n	money people spend on goods	*Consumer spending fell sharply.*
affluent	adj	having a lot of money	*Affluent families can afford private schools.*
afford	v	to have enough money for something	*Many people cannot afford a home.*

Revision: 10 words from last week

WORD		MEANING
upbringing	n	the way a child is raised
nuclear family	n	parents and their children
extended family	n	relatives such as grandparents and cousins
generation gap	n	difference in views between old and young
single parent	n	a mother or father raising children alone
childcare	n	looking after children while parents work
role model	n	a person others want to copy
peer group	n	friends of the same age
sibling	n	a brother or sister

adolescence	n	the teenage years

Practice: fill the gaps

inflation · cost of living · gap between rich and poor · income · consumer spending · budget · bankrupt · debt

1. _____ reduces what money can buy.
2. The _____ is higher in cities.
3. The _____ is widening.
4. Average _____ has risen slightly.
5. _____ fell sharply.
6. The family has a tight _____.
7. The company went _____.
8. Student _____ affects young adults.

More words on this topic (not in the article: choose the 10 most useful for you)

allowance (n): money given regularly
asset (n): something valuable that you own
bank account (n): an account for keeping money
bargain (n): something bought cheaply
borrow (v): to take money to repay later
capital (n): money used to start a business
cash (n): money in notes and coins
cheap (adj): low in price
credit card (n): a card for buying now and paying later
currency (n): the money of a country
deficit (n): when spending is more than income
disposable income (n): money left after taxes and bills
expenses (n): money spent
financial (adj): connected with money
fund (n): a sum of money for a purpose
global economy (n): the world's trade system
inflation rate (n): how fast prices rise
interest rate (n): the cost of borrowing money
loan (n): money lent for a period
low-income (adj): earning little
market (n): a place or system for trade
mortgage (n): a loan to buy a home
poverty line (n): the minimum income to live
purchase (v): to buy
savings (n): money kept for the future
spending power (n): how much you can buy
stock market (n): where shares are bought and sold
standard of living (n): the level of comfort
tax bracket (n): a range of income taxed at one rate
wage (n): pay for work, often weekly

Topic kit: what to know about this topic

Writing Task 2 questions you may meet

1. Some people think the best way to reduce poverty is to give money to poor countries. To what extent do you agree?
2. The gap between the rich and the poor is increasing. What problems does this cause and what solutions can you suggest?
3. Some say money brings happiness; others disagree. Discuss both views and give your opinion.
4. Many young people are in debt. What are the causes and what can be done?

Ideas you can use in essays and in speaking

- **For / good:** Direct aid helps in an emergency such as famine.
- **Against / bad:** Long-term growth needs education, jobs and fair trade, not only money.
- **For / good:** Money pays for health, education and security, which are part of well-being.
- **Against / bad:** Beyond a basic income, relationships and meaning matter more.
- **For / good:** Teaching financial skills in school helps young people to budget and avoid debt.
- **Against / bad:** Rising tuition fees and rents make debt hard to avoid for many.

Speaking

Part 1

- Do you save money?
- What do you spend money on?
- Do you prefer cash or cards?
- Is it easy to save in your country?
- Do you think money is important?

Part 3

- Can money buy happiness?
- Why do some people spend more than they earn?
- Should the rich pay higher taxes?
- How will the way people pay for things change?

Part 2 cue card. Describe something expensive you bought. You should say: what it was, when you bought it, why it was expensive, and explain how you felt about it.

Answers

1. Inflation (inflation)
2. cost of living (cost of living)
3. gap between rich and poor (gap between rich and poor)
4. income (income)
5. Consumer spending (consumer spending)
6. budget (budget)
7. bankrupt (bankrupt)
8. debt (debt)